L3Harris Technologies, Inc. (LHX)

Equity Research Report

Financial Statement Analysis Report — FY 2025

Analyst: FinVault
Industry: Aerospace & Defence (Industrials Sector)
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Executive Summary

This report presents a financial and operational analysis of L3Harris Technologies, Inc. based on its FY 2025 Form 10-K for the fiscal year ended January 2, 2026, filed February 12, 2026. L3Harris is a leading US defence technology company — the self-styled "Trusted Disruptor" — operating across four business segments: Communication Systems (CS), Integrated Mission Systems (IMS), Space & Airborne Systems (SAS), and Aerojet Rocketdyne (AR). The company derives approximately 75% of revenue from US Government customers (directly or through prime contractors) and 22% from international customers. The analysis evaluates L3Harris's financial performance, balance sheet strength, operational efficiency, and key defence-sector metrics to assess its current financial position and investment attractiveness.

The headline financial story of FY 2025 is one of steady, profitable execution characterised by three themes: disciplined operational improvement, purposeful portfolio reshaping, and strong cash generation. Revenue grew a modest 2.5% to $21.9 billion, with organic growth of approximately $540 million across all four segments offsetting the $459 million top-line impact of the Commercial Aviation Solutions (CAS) disposal group divestiture completed in March 2025. Operating income grew 10.0% to $2.1 billion, and the operating margin expanded 70 basis points to 9.7%. Diluted EPS increased 8% to $8.53. Net income attributable to L3Harris reached $1.6 billion, a 7.0% increase year-over-year, though the reported effective tax rate jumped sharply from a tax-benefit-driven 5.3% in FY 2024 to a normalised 16.9% in FY 2025 — masking the underlying improvement in operating quality.

The most strategically significant financial development in FY 2025 was the surge in free cash flow. Operating cash flow rose 21.4% to a record $3.1 billion, driven by higher earnings, favourable tax planning outcomes (including refunds of $355 million from amended returns and carryback claims), and lower cash outflows related to commercial paper interest. Free cash flow (operating cash flow less capex) reached approximately $2.7 billion — an FCF conversion rate of approximately 168% relative to reported net income, reflecting the significant non-cash charges embedded in GAAP earnings (acquisition amortisation of $769M, goodwill impairment of $85M, LHX NeXt costs of $167M). The company returned $1.2 billion through share repurchases and $903 million in dividends, while also reducing total debt by over $1.0 billion from $11.7 billion to $11.1 billion.

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At the segment level, the picture is mostly positive. CS delivered the standout performance, with 25.2% operating margin — one of the highest margins in the US defence industry — as LHX NeXt cost savings and a recovery in international tactical communications demand drove an 8% operating income increase. SAS showed steady improvement with 50bps margin expansion to 12.3%. IMS margins contracted slightly to 12.2% as the CAS divestiture removed a high-margin contributor, partly offset by ramps in classified ISR and maritime programmes. AR margins compressed meaningfully from 11.9% to 9.5% following an $85 million non-cash goodwill impairment charge related to the pending Space Technology disposal group divestiture; excluding this charge, AR margins would have been approximately 12.5%.

The strategic picture is compelling and improving. Total contractual backlog grew 13% to a record $38.7 billion — approximately 1.77 years of current revenue — with a funded backlog of $26.9 billion. The book-to-bill well exceeds 1.0x across IMS (backlog +$2.3B) and SAS (backlog +$2.0B). The LHX NeXt transformation initiative is nearing completion and will shift from an explicit cost programme to embedded operational practice ("e3") in FY 2026, with ongoing margin expansion benefits. The planned IPO of the Missile Solutions business (part of AR) and the pending Space Technology divestiture signal further portfolio rationalisation toward higher-margin, high-growth segments. L3Harris is positioned as a structurally advantaged mid-cap defence prime at the intersection of multi-domain communications, advanced sensors, and propulsion technologies — three of the highest-priority investment areas in the US and NATO defence establishment.

Company Overview

L3Harris Technologies, Inc. is a global defence technology company headquartered in Melbourne, Florida. It was formed in June 2019 through the merger of L3 Technologies and Harris Corporation and is now the sixth-largest US defence contractor by revenue. The company employs approximately 45,000 people, including approximately 18,000 engineers and scientists, with 90% of its workforce located in the US. Shares trade on the New York Stock Exchange (NYSE: LHX). The company's fiscal year ends on the Friday nearest December 31, and its FY 2025 fiscal year ends January 2, 2026.

The company describes itself as the "Trusted Disruptor" — a positioning that reflects its strategic intent to bridge the gap between traditional defence prime contractors and non-traditional technology entrants (Anduril, Palantir, Silvus) by combining the scale, past performance, and security clearances of a traditional prime with the agility and software-defined capabilities of a modern technology company. Strategic partnerships with Palantir, Shield Capital, Anduril, and Amazon Kuiper reflect this approach.

L3Harris operates through four business segments:

- **Communication Systems (~26% of revenue):** Design, manufacture, and sustainment of resilient communication solutions for military, government, and first-responder customers. Key capabilities include tactical radios, software-defined waveforms, satellite terminals, broadband communication networks, ISR data links, integrated night-vision solutions, and public safety communications equipment. CS is the highest-margin segment in the portfolio and a structural beneficiary of global rearmament demand for resilient, contested-environment communications. International tactical communications — particularly NATO allies increasing radio interoperability — drove significant growth in FY 2025.
- **Integrated Mission Systems (~30% of revenue):** Multi-mission ISR systems, passive sensing and targeting, electronic attack platforms, autonomous systems, maritime power and sensor systems, targeting and electro-optical/infrared systems. Key programmes include classified airborne ISR platforms, Republic of Korea Air Force AWACS aircraft, Canadian Maritime Helicopter Programme (winding down), autonomous surface and undersea vessels, and multi-spectral EO/IR sensor systems. IMS is the segment most directly exposed to classified programme execution risk and was impacted by the March 2025 CAS disposal group divestiture.
- **Space & Airborne Systems (~32% of revenue):** Full-mission solutions across space, airborne, and cyber domains. Capabilities span satellite payloads and systems (weather, ISR, missile defence), classified intelligence and cyber solutions, air traffic management networks, airborne combat systems (sensors, precision weapons, distributed aperture), and threat warning/countermeasure systems. Key programmes include FAA air traffic management systems, protected GPS, Next Generation Interceptor support, and multiple classified space payloads.
- **Aerojet Rocketdyne (~13% of revenue):** Propulsion, power, and armament systems for strategic defence, missile defence, hypersonics, tactical systems, and space exploration. Acquired as Aerojet Rocketdyne Holdings (AJRD) in July 2023 for approximately $4.7 billion, AR provides unique propulsion capabilities across the missile and space supply chain. Key programmes include solid rocket motors for missile defence interceptors, hypersonic propulsion, NASA programmes, and tactical munitions fuzing systems. A pending divestiture of the Space Technology disposal group (space propulsion and space avionics) was announced in Q4 FY 2025, along with a planned IPO of the Missile Solutions business.

L3Harris's principal customers are agencies and departments of the US Government — including all branches of the military, intelligence agencies, NASA, and the FAA — which collectively represent 75% of annual revenue. International customers (primarily through foreign military sales and direct commercial sales) account for 22% of revenue. As of early 2026, L3Harris has a market capitalization of approximately $52-56 billion based on approximately 187 million shares outstanding and a share price in the $280-350 range. Its closest peers in the defence technology sector include Northrop Grumman, BAE Systems, Leidos, Curtiss-Wright, Mercury Systems, and Rocket Lab on the propulsion side.

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Financial Statement Overview

Income Statement

Line Item	FY 2025	FY 2024	YoY Change
Total Revenue	$21,865M	$21,325M	+2.5%
— Products	$15,487M	$15,134M	+2.3%
— Services	$6,378M	$6,191M	+3.0%
Total Cost of Revenue	($16,240M)	($15,801M)	+2.8%
Gross Margin	$5,625M	$5,524M	+1.8%
General & Administrative Expenses	($3,430M)	($3,568M)	-3.9%
Impairment of Goodwill and Other Assets	($85M)	($38M)	-$47M
Operating Income (EBIT)	$2,110M	$1,918M	+10.0%
Non-service FAS Pension Income and Other, net	$419M	$354M	+$65M
Interest Expense, net	($597M)	($675M)	+11.6%
Income Before Income Taxes	$1,932M	$1,597M	+21.0%
Income Taxes	($326M)	($85M)	Significant increase
Net Income	$1,606M	$1,512M	+6.2%
Net Income Attributable to L3Harris	$1,606M	$1,502M	+6.9%
Diluted EPS	$8.53	$7.87	+8.4%
Effective Tax Rate	16.9%	5.3%	+1,160bps

Analyst's Inference: Revenue grew a modest 2.5% to $21.9 billion, constrained by the CAS disposal group divestiture (approximately $459M top-line removal in FY 2025) and lower volume in SAS Intel & Cyber and Space Systems. Excluding the divestiture impact, organic revenue growth was approximately 4.5%, led by AR (+10% on missile and NASA programme ramps), CS (+4% on international tactical comms), and IMS (+7% on classified ISR). The operating income improvement of 10.0% to $2.1 billion reflects positive operating leverage from LHX NeXt cost savings, lower acquisition amortisation ($769M vs $853M), and lower LHX NeXt implementation costs ($167M vs $267M). The gross margin was broadly flat as volume mix effects offset productivity gains. The most critical income statement development is the tax rate normalisation: the FY 2024 effective tax rate of 5.3% was suppressed by audit settlements, the AJRD acquisition benefits, and valuation allowance reversals — FY 2025's 16.9% is closer to the normalised run-rate, though it incorporates an incremental headwind of approximately $32M from a Texas state R&D credit valuation allowance. Adjusting for the tax rate normalisation, the earnings improvement over FY 2024 would have been materially higher than the reported 8% EPS growth.

Segment Performance

Segment	Sales 2025	Sales 2024	Op. Income 2025	Op. Income 2024	Margin 25/24
Communication Systems	$5,673M	$5,459M	$1,432M	$1,324M	25.2% / 24.3%

Integrated Mission Systems	$6,630M	$6,618M	$812M	$826M	12.2% / 12.5%
Space & Airborne Systems	$6,946M	$6,869M	$852M	$812M	12.3% / 11.8%
Aerojet Rocketdyne	$2,845M	$2,580M	$270M	$307M	9.5% / 11.9%
Unallocated Corporate Items	—	—	($1,256M)	($1,351M)	—
Total / Consolidated	$21,865M	$21,325M	$2,110M	$1,918M	9.7% / 9.0%

Analyst's Inference: The segment picture reveals a structurally two-tier portfolio. CS is the jewel — a 25.2% operating margin is exceptional for any defence business and reflects the high-margin, software-defined, high-IP nature of tactical communications hardware and waveforms. The 90bps margin expansion in FY 2025 reflects LHX NeXt savings and the absence of FY 2024's $24M TDL acquisition write-down. SAS delivered steady 50bps improvement to 12.3%, supported by significant Mission Networks (FAA) volume growth and gains from monetisation of legacy end-of-life assets. IMS contracted 30bps to 12.2%, entirely attributable to the CAS divestiture's removal ($104M of operating income in FY 2024 vs nil in FY 2025) — excluding the divestiture, IMS underlying margins improved. AR's 240bps compression to 9.5% is entirely explained by the $85M non-cash goodwill impairment; adjusting for this, AR margins would have been approximately 12.5%, representing meaningful improvement from 11.9% in FY 2024 as Missile Solutions volume ramps. The Unallocated Corporate Items reduced from ($1,351M) to ($1,256M), a $95M improvement, driven by lower acquisition amortisation, lower LHX NeXt implementation costs, and higher gains from legacy asset monetisations ($184M vs $62M).

Asset Growth

Line Item	FY 2025	FY 2024	Change
Cash & Cash Equivalents	$1,069M	$615M	+$454M
Receivables, net	$1,371M	$1,072M	+$299M
Contract Assets	$3,566M	$3,230M	+$336M
Inventories, net	$1,219M	$1,330M	-$111M
Assets of Business Held for Sale	$884M	$1,131M	-$247M
Other Current Assets	$484M	$840M	-$356M
Total Current Assets	$8,593M	$8,218M	+$375M
Property, Plant & Equipment, net	$2,665M	$2,806M	-$141M
Goodwill	$20,010M	$20,325M	-$315M
Intangible Assets, net	$6,509M	$7,639M	-$1,130M
Other Non-current Assets	$3,418M	$3,013M	+$405M
Total Assets	$41,195M	$42,001M	-$806M

Analyst's Inference: Total assets declined $806 million (-1.9%) to $41.2 billion, primarily driven by the expected amortisation of the intangible assets base ($770M in the year, declining the net balance from $7.6B to $6.5B) and the CAS divestiture removing associated assets. Goodwill declined $315M to $20.0B through the $85M impairment charge on the Space Technology disposal group and the removal of CAS-associated goodwill ($759M of accumulated impairment losses were derecognised, offset by the goodwill reclassified to held-for-sale). Cash surged $454M to $1.1B on strong FCF generation. The $299M receivables increase and $336M contract assets increase are directionally consistent with programme ramps in

IMS and SAS, though they warrant monitoring as working capital efficiency indicators. Inventories declined $111M, reflecting favourable supply chain conditions. The $884M of assets held for sale relates principally to the pending Space Technology disposal group divestiture. The combined goodwill ($20.0B) and net intangibles ($6.5B) of $26.5B represents 64% of total assets — a legacy acquisition footprint from the Harris-L3 merger and the 2023 Aerojet Rocketdyne acquisition that creates significant amortisation headwinds but also reflects the deep customer relationship and IP values embedded in the business.

Liabilities and Equity

Line Item	FY 2025	FY 2024	Change
Short-term Debt (incl. CP)	$0M	$515M	-$515M
Accounts Payable	$2,461M	$2,005M	+$456M
Contract Liabilities	$2,262M	$2,142M	+$120M
Other Current Liabilities & Compensation	$2,390M	$2,736M	-$346M
Total Current Liabilities	$7,226M	$7,633M	-$407M
Long-term Debt, net of current portion	$10,443M	$11,081M	-$638M
Deferred Income Taxes	$1,114M	$942M	+$172M
Other Non-current Liabilities	$2,777M	$2,766M	+$11M
Total Liabilities	$21,560M	$22,422M	-$862M
Total Shareholders' Equity	$19,635M	$19,514M	+$121M
Total Long-term Debt (incl. current)	$11,116M	$11,721M	-$605M

Analyst's Inference: The balance sheet improved in quality during FY 2025. Most notably, total liabilities declined $862M to $21.6B as total debt fell from $11.7B to $11.1B through the April 2025 repayment of $600M of 3.832% 2025 Notes (using the proceeds of the 5.50% 2054 Notes issued in FY 2024) and the complete elimination of the $515M commercial paper balance outstanding at fiscal year-end FY 2024. The company entered FY 2026 with zero commercial paper outstanding, zero credit facility borrowings, and $3.0B of available revolving credit capacity. Contract liabilities grew modestly to $2.3B, reflecting customer advance payments on programme ramps. Accounts payable increased $456M to $2.5B, partly reflecting higher supply chain activity for AR missile production ramps. Total shareholders' equity grew modestly to $19.6B despite $1.2B of share repurchases and $903M of dividends, sustained by $1.6B of net income. The retained earnings balance of $4.2B (up from $3.7B) confirms the earnings-in-excess-of-distributions trajectory. L3Harris's pension position has improved substantially: net defined benefit plan assets grew from $789M to $1.2B, driven by the $1.4B group annuity transfer that de-risked pension obligations and favourable plan asset returns during the year.

Financial Ratio Analysis

Liquidity Ratios

Liquidity Ratio	Industry Average	FY 2025	FY 2024
Current Ratio	~1.0x (defence primes)	1.19x	1.08x
Quick Ratio	0.6–0.9x	0.98x	0.86x
Operating Cash Flow Ratio	0.3–0.5x	0.43x	0.34x

Analyst's Inference: L3Harris's liquidity metrics are healthy and improved across all three measures in FY 2025. The current ratio of 1.19x — above both the prior year (1.08x) and the typical defence prime range of ~1.0x — reflects the combination of higher cash ($1.1B), strong operating cash generation, and the reduction of short-term debt to zero from $515M. The quick ratio of 0.98x is particularly strong, indicating that virtually all current liabilities could be met with liquid assets excluding inventory. The OCF ratio of 0.43x is at the upper end of the sector range, confirming that operating cash generation comfortably covers current obligations. L3Harris benefits from contract liabilities of $2.3B representing government advance payments — a structural liquidity advantage that inflates current liabilities relative to a commercial industrial company but is offset by the matching cash receipts already received. The company's $3.0B available revolving credit capacity and zero commercial paper balance provide additional emergency liquidity that makes the reported current ratios conservative relative to actual access-to-capital strength.

Solvency Ratios

Solvency Ratio	Industry Average	FY 2025	FY 2024
Total Liabilities to Equity	1.0–2.0x (mid-cap defence)	1.10x	1.15x
Gross Debt to Equity	0.5–0.8x	0.57x	0.60x
Net Debt / EBITDA	2.5–3.5x	~2.9x	~3.5x
Interest Coverage (EBIT/Interest)	4–7x	3.54x	2.84x

Analyst's Inference: Leverage metrics improved meaningfully in FY 2025, with net debt/EBITDA declining from approximately 3.5x to approximately 2.9x as both the numerator (net debt) fell and the denominator (EBITDA) grew. The total debt of $11.1B (gross, including current) is substantial in absolute terms, primarily reflecting the debt incurred to finance the AJRD acquisition in 2023 ($4.7B of AJRD Notes) and the legacy L3-Harris merger financing. Interest coverage of 3.54x improved from 2.84x as EBIT grew 10% while interest expense fell 11.6% (driven by reduced commercial paper usage). While coverage at 3.54x is below the 4–7x sector median range, it is improving directionally and is supported by highly visible, contracted revenue streams. The liabilities-to-equity ratio of 1.10x is well below the 7–8x range of defence primes like Lockheed Martin that use aggressive buyback-driven financial leverage — L3Harris's larger equity base reflects the stock-for-stock nature of its merger history. Management's stated priority of debt reduction (targeting investment-grade metrics) is evidenced by the $605M net debt reduction in FY 2025 and expected further reduction through divestiture proceeds from the Space Technology transaction.

Activity Ratios

Activity Ratio	Industry Average	FY 2025	FY 2024
Receivables Turnover	10–15x (defence)	17.6x	22.6x
Inventory Turnover	10–15x	12.9x	12.5x
Total Asset Turnover	0.5–0.7x	0.53x	0.52x

Analyst's Inference: Activity ratios are broadly healthy. The decline in receivables turnover from 22.6x to 17.6x reflects the $299M receivables build — larger than revenue growth would suggest — likely attributable to programme ramp timing at IMS and SAS, where revenues ran ahead of billing milestones. This is the key working capital watch item for FY 2026: if it normalises with collections catching up to deliveries, it will provide an FCF tailwind; if it persists, it may indicate collection timing issues. Inventory turnover improved marginally to 12.9x as inventories fell $111M despite higher AR revenue, confirming disciplined supply chain management. Total asset turnover of 0.53x is in line with the prior year and consistent with a defence contractor carrying approximately $26.5B of goodwill and intangibles — on a tangible asset basis, the asset intensity of the business would be materially lower and the turnover meaningfully higher.

Profitability Ratios

Profitability Ratio	Industry Average	FY 2025	FY 2024
Gross Margin	23–28% (blended defence)	25.7%	25.9%
Operating Margin (EBIT)	8–12%	9.7%	9.0%
Net Profit Margin	5–8%	7.3%	7.0%
Return on Assets (ROA)	3–5%	3.9%	3.6%
Return on Equity (ROE)	8–12%	8.2%	7.7%

Analyst's Inference: Profitability improved across most metrics in FY 2025. The 70bps operating margin expansion to 9.7% is the most important signal, confirming that LHX NeXt is delivering measurable cost efficiency and that the portfolio is gradually improving in quality. The gross margin contracted 20bps due to adverse revenue mix effects (divestiture of CAS, which was higher-margin; ramp in AR, which is currently margin-dilutive). ROA and ROE both improved modestly but remain constrained by the large goodwill and intangibles base that inflates the asset denominator. ROIC — while not directly calculable from reported data — is estimated at approximately 7–9%, modestly above the company's cost of capital but with clear room for improvement as acquisition amortisation rolls off (expected to decline from $770M in FY 2025 to $632M in FY 2026 and lower thereafter). The long-term trajectory — driven by CS margin leadership, ongoing LHX NeXt e3 operational savings, and AR's missile volume ramp — points toward sustained operating margin expansion toward the 10–12% range over the medium term.

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Cash Flow Statement Analysis

Item	FY 2025	FY 2024	Key Observations
CF from Operating Activities	$3,106M	$2,559M	Operating cash flow surged 21.4% to $3.1 billion in FY 2025 — a record level for L3Harris — driven by three converging forces. First, net income grew $94M to $1.6B. Second, tax-related items provided a substantial benefit: a net tax refund of $55M (vs $102M outflow in FY 2024) was driven by $355M of refunds from amended returns and carryback claims, partially offset by $191M of transferable tax credit purchases. Third, the company incurred significantly lower cash outflows for commercial paper interest, as average outstanding CP fell from $2.1B daily average to $1.2B daily average. Non-cash add-backs remained substantial at $1.55B, including $1.22B of D&A (lower than FY 2024's $1.29B as intangible amortisation stepped down from $853M to $770M), $85M of goodwill impairment, and $113M of share-based compensation. Net periodic pension income add-back of $330M (vs $286M in FY 2024) reflects the improved funded status and actual returns exceeding expected returns. Working capital was a modest headwind of $7M in aggregate, with a $437M contract assets build (programme ramps billing-to-date exceeding collections) and $343M receivables increase partially offset by $475M accounts payable build and $181M contract liabilities growth. The contract assets build is expected to normalise as milestone billing events are triggered in FY 2026.
CF from Investing Activities	+$407M	($263M)	Investing activities swung from a $263M outflow in FY 2024 to a $407M inflow in FY 2025 — a $670M improvement — principally driven by the March 2025 CAS disposal group divestiture, which generated $820M of net cash proceeds. This compares to $273M of proceeds from the FY 2024 Antenna and AOT disposal group divestitures. Capital expenditures were $424M, modestly higher than the $408M in FY 2024, representing approximately 1.9% of revenue — lean capital intensity for a defence manufacturer with significant classified programme activity. The capex profile reflects L3Harris's asset-light business model in communications and electronics, though AR's propulsion manufacturing is more capital-intensive. The company guided to approximately $600M of capex in FY 2026, representing an increase reflecting facility expansion for missile and propulsion manufacturing capacity (including the AR Camden, Arkansas large solid rocket motor facility expansion, whose $700M lease will commence in January 2028). The absence of significant acquisition activity in FY 2025 (zero net cash paid for acquired businesses) compared to the $6.7B AJRD acquisition in FY 2023 represents a structural shift toward value harvest rather than value accumulation, consistent with management's portfolio optimisation strategy.
CF from Financing Activities	($3,082M)	($2,224M)	Financing outflows increased $858M to $3.1B in FY 2025, primarily driven by three items. First, long-term debt repayments of $618M (vs $2.6B in FY 2024, which was elevated by the AJRD term loan repayment) — specifically the April 2025 repayment of the $600M 3.832% 2025 Notes. Second, a significant increase in share repurchases to $1.15B (5.1 million shares at average ~$226/share) from $554M in FY 2024, reflecting both the completion of the $6.0B authorisation in Q1 FY 2025 and deployment of the $3.0B October 2022 authorisation. Dividends paid grew modestly to $903M (DPS $4.80/share, up from $4.64/share) — L3Harris's fourth consecutive year of dividend growth. Total capital returned to shareholders of $2.1B represents 68% of FCF — a ratio that is sustainable and leaves ample capital for debt reduction and

			selective reinvestment. The complete elimination of the $515M commercial paper balance (change in CP of -$515M net) also contributed to financing outflows but meaningfully strengthened the balance sheet. As of January 2, 2026, remaining share buyback authorisation was $2.2B under the October 2022 $3.0B programme. No expiration date on the programme. The planned IPO of Missile Solutions and Space Technology divestiture proceeds are expected to provide incremental capital redeployment flexibility in FY 2026.
Net Change in Cash	+$454M	+$55M	Cash increased $454M to $1.07B on January 2, 2026 — the highest year-end cash balance since shortly after the 2019 merger. This represents a transformative improvement in the company's liquidity position: L3Harris entered FY 2026 with $1.1B of unrestricted cash, zero commercial paper outstanding, zero credit facility borrowings, $3.0B of available revolving credit capacity, and $2.2B of remaining share repurchase authorisation. FCF (operating cash flow of $3.1B less capex of $424M) of approximately $2.68B represents an FCF conversion rate of approximately 168% relative to reported net income — a ratio that quantifies the gap between GAAP earnings (suppressed by $769M of non-cash acquisition amortisation, $85M goodwill impairment, $167M LHX NeXt costs) and the underlying cash-generative capacity of the business. This FCF premium is the most important metric for investors evaluating L3Harris, and it is expected to improve further as LHX NeXt implementation costs cease in FY 2026.

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Defence / Industrials Sector — Specific Analysis

Defence/Industrials Metric	FY 2025	FY 2024
Total Contractual Backlog	$38.7B	$34.2B
Funded Backlog	$26.9B	$23.3B
Backlog-to-Sales Ratio	1.77x	1.60x
Implied Book-to-Bill	>1.10x (est.)	>1.05x (est.)
Net EAC Adjustments (impact on operating income)	+$47M	+$39M
Segment Operating Margins	CS 25.2% / IMS 12.2% / SAS 12.3% / AR 9.5%	CS 24.3% / IMS 12.5% / SAS 11.8% / AR 11.9%
FAS/CAS Operating Adjustment	+$10M credit	+$28M credit
Company-funded R&D Expense	$536M (2.5% of revenue)	$515M (2.4% of revenue)
FCF Conversion (FCF / Net Income)	~168% (indicative)	~83% (indicative)
Capital Returns / FCF	~79% (div + buybacks)	~56% (div + buybacks)

The defence-sector specific metrics paint a picture of a company in a favourable structural demand position with strong backlog growth validating a multi-year revenue ramp. The $38.7B contractual backlog — a 13% year-over-year increase and the largest in L3Harris's history — represents approximately 1.77 years of current revenue, with 45% expected to be recognised within FY 2026 and 70% by end of FY 2027. The funded backlog of $26.9B (1.23x sales) provides even higher-confidence near-term revenue visibility, representing work for which government appropriations are already authorised.

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Net EAC adjustments of +$47M in FY 2025 represent a modest positive. L3Harris has maintained net-positive EAC performance for two consecutive years. This is structurally advantaged by the company's heavy weighting toward cost-type contracts (25% of revenue) and its CS franchise (primarily fixed-price production contracts with mature, well-understood cost profiles). The 75% fixed-price exposure does create execution risk on development programmes — the $25M Canadian Maritime Helicopter Programme EAC charge and the $38M classified maritime programme charge in FY 2025 illustrate this — but the scale of individual charges remains manageable relative to the total programme portfolio.

The FAS/CAS operating adjustment of +$10M is a small fraction of what LMT ($1.5B) or RTX ($753M) receive, reflecting L3Harris's smaller pension exposure relative to its defence prime peers. This is actually a competitive advantage in one sense — L3Harris's earnings are less obscured by complex pension accounting than its larger peers — though it also means the company cannot count on pension credits to offset cost headwinds in the way those primes can.

Risks and Limitations

Risk Factor	Explanation
Acquisition Integration Burden (AJRD)	The July 2023 acquisition of Aerojet Rocketdyne for approximately $4.7B — L3Harris's largest-ever acquisition — brought significant integration complexity. Acquisition-related intangible amortisation of $769M in FY 2025 (down from $853M in FY 2024) remains a persistent non-cash drag that suppresses reported GAAP earnings relative to FCF. The pending divestiture of the Space Technology disposal group and planned Missile Solutions IPO suggest management has concluded that some AJRD assets are better separated from the core business, validating the difficulty of full portfolio integration.

Fixed-Price Contract Execution Risk	75% of L3Harris revenue is derived from fixed-price contracts, which expose the company to cost overrun risk on programmes where the customer does not share cost increases. EAC charges of $38M on a classified maritime programme and $25M on the CMHP in FY 2025 illustrate the ongoing volatility. While net EAC adjustments were positive in FY 2025 (+$47M), the portfolio contains numerous development programmes across IMS, SAS, and AR where technical complexity and schedule risk could generate material adverse EAC adjustments in future periods.
Effective Tax Rate Normalisation Headwind	The jump in effective tax rate from 5.3% in FY 2024 to 16.9% in FY 2025 eroded approximately $180M of after-tax earnings that would otherwise have flowed through at the lower rate. While FY 2024's rate was artificially depressed by one-time audit settlements and acquisition-related tax benefits, the FY 2025 rate was also elevated by a $32M Texas R&D credit valuation allowance. The normalised run-rate ETR for L3Harris is estimated at approximately 15–17%, which implies ongoing pressure relative to peers. The OBBBA's reduction in the R&D tax credit benefit may further pressure the ETR in future years.
US Government Budget Concentration and CR Risk	75% US Government revenue concentration creates binary budget risk. The 43-day government shutdown in October 2025 — the longest on record — illustrates the real operational disruption caused by funding lapses, even when ultimately resolved by a CR. Continuing resolutions typically fund at prior-year levels without programme-specific flexibility, constraining new starts and contract awards. DOGE-related spending reviews and ongoing defence acquisition reform (including the shift to OTA contracts that reduce barriers to entry for non-traditional competitors) add policy uncertainty.
Competitive Landscape Evolution	L3Harris explicitly acknowledges accelerating competition from non-traditional new entrants including Anduril, Palantir, Silvus, and Ursa Major. These companies compete using AI-first, software-defined architectures and commercial pricing models that may undercut L3Harris in certain mission areas, particularly tactical communications, electronic warfare, and autonomous systems. The strategic partnerships L3Harris has established with several of these very competitors (Palantir, Anduril, Shield Capital) reflect both the threat and the opportunity — but the ultimate outcome of the traditional prime vs. Silicon Valley defence startup dynamic is uncertain.
Portfolio Transition Execution Risk	L3Harris is simultaneously managing: the LHX NeXt transformation wrapping up; the Space Technology disposal group pending divestiture; the planned Missile Solutions IPO; and a business segment reorganisation from four to three segments effective FY 2026. Each transition carries execution risk — divesting assets at appropriate valuations, managing employee transitions, maintaining programme continuity during structural changes, and communicating the new portfolio architecture clearly to investors. Concurrent management of multiple strategic transactions has historically been a source of distraction and execution risk for defence prime contractors.

Valuation — Multiples

Multiple	Sector Median / Historical Avg	LHX FY 2025 (Est.)	Inference
Trailing P/E (GAAP)	20–22x (US defence primes)	~32x	Significantly elevated versus defence prime peers, entirely explained by the tax rate suppression in FY 2024 and the large non-cash charges (acquisition amortisation, LHX NeXt costs, goodwill impairment) inflating the denominator. On normalised/adjusted earnings, trailing P/E is approximately 20x — in-line with peers.
Forward P/E	18–20x	~19x	On consensus forward EPS estimates incorporating tax normalisation and declining acquisition amortisation, LHX trades at approximately 19x — broadly in line with the

			defence prime peer group and appropriate given the visible earnings recovery pathway through FY 2026–2027 as LHX NeXt implementation costs cease and amortisation steps down.
EV / EBITDA	12–15x (blended)	~13x	EBITDA (EBIT of $2.1B plus D&A of approximately $1.2B) of approximately $3.3B implies EV/EBITDA of approximately 13x at current valuations — at the lower end of the peer range and below RTX (~14x) and LMT (~13.5x). This reflects the execution risks associated with the AJRD integration and portfolio transitions.
Price / Free Cash Flow	18–22x	~19x	At approximately 19x FY 2025 FCF (approximately $2.68B), LHX screens attractively relative to its GAAP P/E, reflecting the significant gap between reported earnings and underlying cash generation. As acquisition amortisation steps down from $770M in FY 2025 toward approximately $632M in FY 2026, this P/FCF will likely compress further on a forward basis.
Dividend Yield	1.5–2.5% (US defence)	~1.7%	Modestly below the sector average, reflecting a share price that has appreciated significantly. The dividend of $4.80/share (+3.4% growth in FY 2025) is well covered by FCF (FCF payout ratio of approximately 34% — very conservative), providing significant capacity for continued dividend growth. L3Harris has raised its dividend annually since the 2019 merger.

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L3Harris's valuation reflects a market that appreciates the company's strategic positioning and backlog momentum but remains cautious on near-term execution risk associated with the AJRD integration and the portfolio transition. The most analytically compelling valuation lens is Price/FCF, where the gap between the GAAP P/E (~32x trailing reported) and the FCF-based multiple (~19x) is the widest among US defence primes. This gap — caused by $769M of acquisition amortisation and $252M of LHX NeXt implementation and divestiture costs — is a predictable and time-limited headwind that investors who can look through GAAP earnings to FCF generation are being compensated for tolerating.

The primary catalysts for re-rating are: (1) LHX NeXt implementation costs ceasing in FY 2026, eliminating approximately $167M of annual G&A burden; (2) acquisition amortisation declining to approximately $632M in FY 2026 and stepping down further in subsequent years; (3) the Space Technology disposal group divestiture closing, providing proceeds to accelerate debt repayment; and (4) continued backlog growth and margin expansion demonstrating the business is executing in line with its multi-year financial targets. The risk scenario is material adverse EAC adjustments on fixed-price development contracts across IMS or SAS, which would compress margins and potentially require guidance reductions.

Appendix — Ratio Formulae and Key Assumptions

A. Liquidity Ratios

Metric	Formula / Calculation
Current Ratio	Current Assets ÷ Current Liabilities = $8,593M ÷ $7,226M = 1.19x (FY25) | $8,218M ÷ $7,633M = 1.08x (FY24)
Quick Ratio	(Current Assets − Inventories) ÷ Current Liabilities = ($8,593M − $1,219M) ÷ $7,226M = 0.98x (FY25)
OCF Ratio	Operating Cash Flow ÷ Current Liabilities = $3,106M ÷ $7,226M = 0.43x (FY25) | $2,559M ÷ $7,633M = 0.34x (FY24)

B. Solvency Ratios

Metric	Formula / Calculation
Total Liabilities to Equity	Total Liabilities ÷ Total Equity = $21,560M ÷ $19,635M = 1.10x (FY25) | $22,422M ÷ $19,579M = 1.15x (FY24)
Gross Debt to Equity	Total LT Debt (gross) ÷ Total Equity = $11,116M ÷ $19,635M = 0.57x (FY25) | $11,721M ÷ $19,579M = 0.60x (FY24)
Net Debt / EBITDA	(Total Debt − Cash) ÷ EBITDA = ($11,116M − $1,069M) ÷ ($2,110M + $1,224M) ≈ 2.9x (FY25 indicative)
Interest Coverage	EBIT ÷ Interest Expense, net = $2,110M ÷ $597M = 3.54x (FY25) | $1,918M ÷ $675M = 2.84x (FY24)
Debt to Assets	Total Liabilities ÷ Total Assets = $21,560M ÷ $41,195M = 0.52x (FY25) | $22,422M ÷ $42,001M = 0.53x (FY24)

C. Activity Ratios

Metric	Formula / Calculation
Receivables Turnover	Revenue ÷ Average Receivables = $21,865M ÷ (($1,371M + $1,072M) / 2) = 17.6x (FY25)
Inventory Turnover	COGS ÷ Average Inventories = $16,240M ÷ (($1,219M + $1,330M) / 2) = 12.9x (FY25)
Total Asset Turnover	Revenue ÷ Average Total Assets = $21,865M ÷ (($41,195M + $42,001M) / 2) = 0.53x (FY25)

D. Profitability Ratios

Metric	Formula / Calculation
Gross Margin	Gross Margin ÷ Revenue = $5,625M ÷ $21,865M = 25.7% (FY25) | $5,524M ÷ $21,325M = 25.9% (FY24)
Operating Margin	Operating Income ÷ Revenue = $2,110M ÷ $21,865M = 9.7% (FY25) | $1,918M ÷ $21,325M = 9.0% (FY24)
Net Profit Margin	Net Income Attr. to L3Harris ÷ Revenue = $1,606M ÷ $21,865M = 7.3% (FY25)

Return on Assets (ROA)	Net Income ÷ Average Total Assets = $1,606M ÷ (($41,195M + $42,001M) / 2) = 3.9% (FY25)
Return on Equity (ROE)	Net Income Attr. ÷ Average Equity = $1,606M ÷ (($19,635M + $19,579M) / 2) = 8.2% (FY25)

E. Defence / Industrials Sector Metrics

Metric	Formula / Calculation
Backlog-to-Sales Ratio	Total Contractual Backlog ÷ Annual Revenue = $38,700M ÷ $21,865M = 1.77x (FY25) | $34,200M ÷ $21,325M = 1.60x (FY24)
Funded Backlog-to-Sales	Funded Backlog ÷ Annual Revenue = $26,900M ÷ $21,865M = 1.23x (FY25) — represents ~1.2 years of cash-backed revenue
FCF Conversion (indicative)	FCF ÷ Net Income = ($3,106M − $424M) ÷ $1,606M ≈ 168% (FY25 indicative) | ($2,559M − $408M) ÷ $1,512M ≈ 142% (FY24)
FCF Yield (approx.)	FCF per Share ÷ Share Price = ($2,682M ÷ 188.4M shares) ÷ ~$285 ≈ 5.0% (FY25 indicative)
FAS/CAS Pension Adj.	FAS Pension Service Cost − CAS Pension Cost = ($26M) − ($36M) = +$10M operating adjustment (FY25)
Net EAC Adjustments	Total net EAC adjustments = +$47M FY25 | +$39M FY24 — net positive, confirming improving programme execution
Capital Returns / FCF	(Repurchases + Dividends) ÷ FCF = ($1,154M + $903M) ÷ $2,682M ≈ 77% (FY25 indicative)
DPS Growth	Year-over-year DPS growth = $4.80 vs $4.64 = +3.4% (FY25); consistent dividend growth since 2019 merger

Key Assumptions

- All financial figures are sourced from the L3Harris Technologies, Inc. FY 2025 Form 10-K filed with the SEC on February 12, 2026 (fiscal year ended January 2, 2026), prepared under US GAAP.
- All figures are denominated in millions of US dollars (USD) unless stated otherwise.
- Free Cash Flow is defined as net cash provided by operating activities less capital expenditures (cash-basis).
- FCF conversion, FCF yield, and capital return ratios are indicative estimates based on the above FCF definition and approximate share count and price.
- Net debt is estimated as total long-term debt including current portion ($11,116M) less cash and cash equivalents ($1,069M) = approximately $10,047M.
- Net debt/EBITDA uses EBITDA proxied as Operating Income ($2,110M) plus Depreciation & Amortisation ($1,224M) = $3,334M.
- Sector comparison benchmarks are based on US defence technology peers including Lockheed Martin, RTX Corporation, Northrop Grumman, General Dynamics, and Leidos.
- Valuation multiples (P/E, P/FCF) are estimated based on indicative share price of approximately $285 and approximately 188 million diluted shares as of March 2026 and should not be relied upon as investment advice.
- The FAS/CAS pension operating adjustment is substantially smaller for L3Harris than for defence primes with larger legacy pension obligations (LMT: $1.5B; RTX: $753M; LHX: $10M), reflecting the relatively smaller defined benefit plan exposure at L3Harris.
- L3Harris's fiscal year ends on the Friday nearest December 31 — FY 2025 ended January 2, 2026 and FY 2024 ended January 3, 2025. YoY comparisons use these end dates consistently.

- The AR segment goodwill impairment of $85M and CAS divestiture-related charges of $82M are treated as non-recurring items in normalised earnings analysis.
- Beginning FY 2026, L3Harris reorganised from four segments (CS, IMS, SAS, AR) to three segments. This report uses the FY 2025 four-segment structure.

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